WARRANTY ATLAS · Texas (TX)

Law last amended: 2001 (eff. 2003-06-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-12

Cites: Tex. Occ. Code § 2301.402 (rate); § 2301.403 (adjustment/protest); § 2301.404 (time for payment); § 2301.405 (chargeback/audit); §§ 2301.651, 2301.801-.805 (sanctions)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Statute silent on time / not established	§ 2301.402(b)
Mfr-backed service contract	**Not addressed**	-	§ 2301.402(a)
CPO warranty	**Not addressed**	-	§ 2301.402(a)
Independent service contract	**Not addressed**	-	§ 2301.401(a)(1)–(2)

Hourly rate: The dealer must be paid at least 'the amount the dealer charges a retail customer for similar nonwarranty work', using the greater of (1) the average labor rate on 100 sequential nonwarranty ROs or (2) the average over 90 consecutive days, both within the preceding 6 months and excluding routine maintenance. Dealers request adjustments by certified mail. The manufacturer has 60 days to respond, then the dealer can protest to the Board. Adjustments are limited to one a year.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Written notice of the reasons for disapproval.	§ 2301.404(b); payment within 30 days of approval § 2301.40…
Payment	30 days after approval. Dealer filing deadline: Silent.	
Chargebacks	12 months; fraud: No time limit if manufacturer has reasonable grounds to suspect fraud. Audit window runs from claim SUBMISSION (not payment). Chargeback only if manufacturer shows claim false/fraudulent, repair not properly performed or unnecessary, or dealer failed to substantiate per requirements enforceable under § 2301.401 when filed. Manuf…	§ 2301.405(b); grounds § 2301.405(a)
Rate resubmission	Once a year, except by agreement of the parties. Sample: 100 ROs or 90 days (sample with the higher rate); ROs <= 180 days old. Excluded: Routine maintenance.	§ 2301.402(c); frequency § 2301.403(f); request § 2301.403(…
Mfr response	60 days; no response = approved: no rule in statute. Challenge: On protest, Board may uphold disapproval or non-response only if manufacturer proves by a preponderance that it was reasonable; otherwise Board orders the requested rate. Forum: Protest to the Board of the Texas Department of Motor Vehicles (§ 230….	§ 2301.403(b); protest and burden § 2301.403(c)-(e)
Penalties	Rate protest to the Board (§ 2301.403). DTPA-based damages action under § 2301.805 covers violations of Subchapter J and §§ 2301.351-.354/.357, not expressly Subchapter I (warranty). Board civil penalty up to $10,000 per violation, each day a separate violation (§ 2301.801); license denial, revocation, suspension, probation or repriman…	Tex. Occ. Code §§ 2301.403, 2301.651, 2301.801, 2301.802, 2301.804, 2…
Audit procedures	Audit climate score 15/100 (Low restrictiveness; chargeback limits 15/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 2301.404(b); payment within 30 days of approval § 2301.40…): "A claim that is not disapproved before the 31st day after the date of receipt is considered approved."*
Chargebacks *(§ 2301.405(b); grounds § 2301.405(a)): "A manufacturer or distributor may not audit a claim filed under this subchapter after the first anniversary of the date the claim is submitted unless the manufacturer or distributor has reasonable grounds to suspect that the claim was fraudulent."*
Rate *(§ 2301.402(c); frequency § 2301.403(f); request § 2301.403(…): "the manufacturer or distributor shall use the greater of: (1) the average labor rate charged during the preceding six months by the dealer on 100 sequential nonwarranty repair orders, exclusive of routine maintenance"*
Factory time *(§ 2301.402(b)): "A manufacturer or distributor may not pay or reimburse a dealer an amount of money for warranty work that is less than the amount the dealer charges a retail customer for similar nonwarranty work."*

Notes

The 'greater of' test favors the dealer. No time-allowance standard; § 2301.401(b) makes manufacturer warranty requirements unenforceable unless reasonable. Claim/payment rules also cover preparation-and-delivery claims.

Source: official · https://statutes.capitol.texas.gov/Docs/OC/htm/OC.2301.htm (read via Legislature file server https://tcss.legis.texas.g… · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.